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Interim Market Commentary

The Opportunity Cost of Negative Bubbles

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There are two kinds of bubbles: one positive and one negative. A positive bubble is well-documented and well-studied in history, and involves an excess of confidence in a favorable economic outcome. It's well-studied in books that include *The Great Crash* by John Kenneth Galbraith, *Only Yesterday* by Frederick Lewis Allen, or even the initial chapters of *Extraordinary Popular Delusions and the Madness of Crowds* by Charles MacKay. The negative bubble is the reverse, or a dearth of confidence in a favorable outcome. It is marked by confidence in a negative outcome, making it a negative act, and it occurs more frequently than the positive bubble.

An example of a negative bubble is the period in American history shortly after the Second World War when stocks yielded much more than bonds. It was generally believed by professional investors that demobilization of the armed forces in the wake of the war would lead to a resumption of the economic depression that preceded the war. This negative view was so pervasive that as late as 1954, when the Dow Jones Industrial Average reached its 1929 high of 280, the Senate Finance Committee conducted hearings on the state of the stock market.

It was believed that the proximate cause of the calamity following 1929 was an over-inflated stock market. Therefore, when the Dow reached the pre-crash level of 280 in 1954, it was feared that the market was poised for another crash. It may be difficult to imagine the Finance Committee of the United States Senate holding hearings because the stock market reached a high that had been reached 25 years before; however, today we have Senate Finance Committee hearings, because the stock market has reached a low. Thus, it appears that when the stock market reaches a high, a hearing is in order, and when the stock market reaches a low, a hearing is in order as well.

The negative bubble is much more serious and difficult to study than the positive bubble, because the losses that occur in a negative bubble are opportunity cost losses. In the wake of a positive bubble, a stock market crash can cause losses that well exceed 50%, as was recently experienced. Those losses pale, however, when compared with the opportunity cost losses in a negative bubble when the stock market may rise several fold, but assets are kept sub-optimally invested in low-return vehicles. The negative bubble is much more difficult to study, because it's very difficult to document opportunity cost losses. Therefore, an opportunity cost loss, which is real in the sense that an economy operates at a sub-optimal level, is an abstraction in the sense that there are no documents that can be studied with clarity to indicate the extent of a negative bubble loss.

Another example of a negative bubble occurred in the months following August 1914 when the New York Stock Exchange closed for a lengthy period of time in the belief that the European conflict would lead to an economic depression in the United States. It was a reasonable but, nevertheless, incorrect belief because, in fact, the European conflict established America as a major industrial power. There are many books on bubbles, such as those written on the South Sea Bubble that occurred in the early 18th Century in Britain.

It's worthwhile noting, however, that shortly thereafter Britain became the world's preeminent economy. Clearly, investors were influenced by the South Sea Bubble, which made them reluctant to deploy capital at risk, and led to the opportunity cost losses of the negative bubble that came after it. Unfortunately, there's nothing to study; there are no scholarly works on those opportunity cost losses.

During the course of deflation in the aftermath of a positive bubble, the capital market ceases to function. The primary mission of the capital market is to agglomerate savings to be used for some reasonable economic purpose. When the capital market stops functioning, savings would no longer be agglomerated. Though savings would still exist, economic activity would usually diminish. A meaningful sign of recovery is a revival of vigor in capital markets, which is evident in the recently reinvigorated world IPO market of the last 90 days.

An enormous quantity of money has been raised in IPOs, and it's very unusual that such a quantity of money could be raised in the course of 90 days, but so it is. I'll mention a mere handful of companies that are either scheduled to become public in the not too distant future or that have raised money.

In China, after a multiple year hiatus of IPOs that was orchestrated by the government to lessen the consequences of an obviously overheated economy, in several days we will see the IPO of Duoyuan Global Water, Chemspec International, which is a chemical company, and Guilin Sangin Pharmaceutical. Interestingly enough, also in the context of the Chinese market but in Hong Kong, AIG Asia will, if successful, make a public offering. This, of course, is the carve-out from AIG.

In the United States, there is a scheduled IPO for a company called Log Mein that engages in small business connectivity. Another interesting IPO is of a company called Cyprus Sharpridge Investments, which is being formed to invest entirely in residential mortgages. It appears to have raised $100 million. A carve-out from Starwood Hotels is raising another $500 million to invest in mortgages. The company known as Stone Energy recently completed a secondary offering. Visa Brazil is scheduled to engage in a public offering, raising $3.6 billion, if these figures are credible. The other Brazilian credit card company known as Redecard, which is a carve-out from Citigroup, raised $917 million in an IPO in Brazil in March.

In the month of May, there were several secondary offerings. Prudential raised $2.4 billion in both stock and bond offerings. Wells Fargo raised $8.6 billion. The Italian National Gas Company raised $4.7 billion. Morgan Stanley raised $4.6 billion. US Bancorp raised $2.8 billion. State Street raised $2.3 billion. Excluding $13.5 billion equity issuance of the Bank of America, US equity issuance in the month of May was a record $49 billion, an amount unsurpassed in its lengthy IPO history.

Other equity offerings include Open Table, which is a restaurant reservation system that came public in what was apparently a successful IPO. Interestingly enough, China Mobile, which is China's preeminent cellular company, is listed in Hong Kong and New York, but is not yet listed on the Shanghai Stock Exchange. It appears that it soon will be listed on that exchange making it available to Chinese investors. The Chinese government appears confident that issuance of shares on the Shanghai Stock Exchange by a company as large as China Mobile will not otherwise disturb the Chinese equity market.

Dow Chemical raised $2.25 billion. Capital One, the credit card company, though it's frequently cited as the next shoe to drop in the credit crisis, was able to raise $1.6 billion in a secondary offering. An entirely economically sensitive company called China Metal Recycling (773 HK) raised 200 million Hong Kong dollars some number of days ago.

Obviously, the IPO market is vigorous. This list is not comprehensive; it is merely a selection of the offerings that have occurred during the course of that last 12 weeks. Much more is scheduled on the calendar. Most of this money will be deployed either in actual projects, or to deleverage balance sheets. When balance sheets are deleveraged, it's not merely a passive act of balance sheet restructuring. It means that a properly financed company can yet again access the capital markets, the debt markets and its own cash flow for investment purposes, as opposed to merely servicing the existing debt. It's clearly a sign of vigor, but is unremarked upon by equity analysts. It merits further study.